

lion—posted an estimated \$51.4 billion in revenues in 2022 (per a Social App Report), WhatsApp brought in nearly \$13 billion in 2022 (per AppMagic). The big difference between them lies in their monetisation models—which for Instagram, is mostly ad-based. Experts say that an encrypted messaging platform like WhatsApp isn't favourable to ads.

It's not as if WhatsApp has not tried; from charging users \$1 per year, to launching WhatsApp Pay for which businesses would have to pay a flat fee of 3.99 per cent on every transaction, it has done it all, but to no avail. India, Meta's happy hunting ground for pilot projects, too has disappointed WhatsApp in terms of monetisation, so far.

According to Barnik Chitran Maitra, Managing Partner at consultancy Arthur D. Little, India and South Asia, India is a cluttered market and it will be an uphill task for Meta from a monetisation standpoint. "They have customers in India because it's free," he says, adding, "WhatsApp can't give businesses data that they can use for targeted ads because that'll be a clear invasion of privacy... If you can't personalise data, it'll seem like spam".

It is difficult to convince tight-fisted Indian users to part with their cash. Maitra explains that people have overestimated the market size or willingness to pay in India. "Only 30-40 million households have a willingness to pay. This is a business model no one has been able to crack, which is why no one is profitable at scale," he says.

Yet, WhatsApp, and Meta, have big plans for India.

THE BUSINESS PLAN

Today, WhatsApp has more than 2 billion monthly active users (MAU), and in India, its largest market with over 400 million users, its revenues



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are inching towards \$1 billion, per estimates. "India [is] a country that's at the forefront... You're leading the world in terms of how people and businesses have embraced messaging," Zuckerberg said in a virtual address at Meta's annual event in Mumbai recently. "We've continued to innovate with our messaging formats, our group chats and broadcast channels... [And we're] creating simple to use and easy to scale tools so they (businesses) can connect with their customers in meaningful ways," he had said, adding that he sees business messaging as a "major monetisation opportunity".

Sandhya Devanathan, VP & Head of Meta India, tells *BT* that India is a priority market. "It's a great opportunity not just to monetise [WhatsApp] but also do game-changing innovation... Just last year, we saw conversations with businesses double in India," she says.

But she admits that there are challenges. "If we don't build good experiences, users will be put off. The focus is on... giving the power back to users," she says, adding that users can block businesses if they send too much spam. "And businesses can only reach out to users if they have consent."

Meta had recognised the kind of monetisation opportunities a large user base could provide early. In 2018, it launched the free-to-use WhatsApp Business App, which today has an estimated 1 million-plus businesses in India. On this app, businesses can create their profiles and link their websites, Facebook pages, etc. to communicate with users. Now, Meta also has a subscription via which businesses get access to WhatsApp Business Premium, with advanced features. In June, Meta said the WhatsApp Business App had seen MAU quadruple in the past three years to 200 million.